



PAPER – 3: TAXATION

SECTION A: INCOME TAX LAW

The Income-tax law, as amended by the Finance Act, 2025, including significant notifications/ circulars issued upto 31st October, 2025, is applicable for May, 2026 examination. The relevant assessment year for May, 2026 examination is A.Y.2026-27. The July, 2025 edition of the Study Material is based on the provisions of Income-tax law as amended by the Finance Act, 2025 and significant notifications/circulars issued upto 15.07.2025. The said study material has to be read along with the Statutory Update containing notifications and circulars issued upto 31.10.2025 but not covered in the study material webhosted at <https://resource.cdn.icai.org/89998bos-aps2378-int-p3a-statutory-may2026.pdf>.



QUESTIONS

Case Scenario

Mr. Roshan, aged 45 years, is employed as a finance manager in XYZ Ltd., Mumbai. During the F.Y. 2025-26, he receives the following:

- Basic Salary - ₹ 60,000 p.m.
- DA - ₹ 12,000 p.m. (50% is forming part for retirement benefits)
- Employer's contribution to PF – 15% of basic salary

He owns a house property which is let out during the P.Y. 2025-26. He has taken a loan for acquisition of this house and paid interest of ₹ 2.20 lakhs during the year. Details of house property are as follows:

- Municipal Value – ₹ 1,80,000 per annum
- Fair Rent – ₹ 1,95,000 per annum
- Standard Rent – ₹ 1,80,000 per annum
- Actual Rent received – ₹ 1,70,000 per annum
- Municipal Tax (paid by tenant) – 7.5% of municipal value
- Repair Expenses (paid by Mr. Roshan) – ₹ 9,000

Other transactions during the Financial Year 2025–26 are as under:

- (1) Household LED and refrigerator purchased in January 2017 for ₹ 56,000 were sold in February 2026 for ₹ 15,000.
- (2) Advance of ₹ 4,00,000 was received from Mr. Vanraj on 1st May 2025 against sale of urban agricultural land for ₹ 11,00,000 which was being used by his father for agricultural purposes during last 2 years and 8 months. However, due to non-payment of balance amount, advance was forfeited.
- (3) The same land was subsequently sold to Mr. Jain on 1st December 2025 for ₹ 10,50,000. The land was purchased on 20th January 2006 for ₹ 1,50,000. Mr. Roshan purchased new rural agricultural land on 10th March 2026 for ₹ 9,50,000.
- (3) Interest credited in PPF account during the year amounted to ₹ 40,500.
- (4) He paid ₹ 75,000 as premium towards life insurance cover for self and his wife and also contributed ₹ 1,00,000 towards PPF.

Cost Inflation Indices for the Financial Years are under:

2005-06: 117

2016-17: 264

2025-26: 376

Mr. Roshan wants to pay tax under default tax regime.

Based on the facts of the case scenario given above, choose the most appropriate answer to the following multiple-choice questions:

1. What would be the amount chargeable to tax under the head "Salaries" of Mr. Roshan for the A.Y. 2026-27?
 - (a) ₹ 7,93,320
 - (b) ₹ 8,01,960
 - (c) ₹ 8,10,600
 - (d) ₹ 8,26,960
2. Compute the amount of capital gains chargeable to tax in the hands of Mr. Roshan for the A.Y. 2026-27.
 - (a) ₹ 9,00,000
 - (b) ₹ 5,26,948
 - (c) Nil
 - (d) ₹ 4,59,000
3. What would be the total income of Mr. Roshan for the A.Y. 2026-27?
 - (a) ₹ 12,01,960
 - (b) ₹ 11,07,960
 - (c) ₹ 20,16,600
 - (d) ₹ 21,51,100
4. What would be the tax liability of Mr. Roshan for the A.Y. 2026-27?
 - (a) ₹ 1,70,730
 - (b) ₹ 1,87,370
 - (c) Nil
 - (d) ₹ 2,040
5. What would be the tax liability of Mr. Roshan for the A.Y. 2026-27 if he opts out of the default tax regime?
 - (a) ₹ 1,13,460

- (b) ₹ 1,03,060
- (c) ₹ 2,35,990
- (d) ₹ 2,33,680
6. Mr. Subhash, an Indian citizen, is currently in employment with an overseas company located in Country X. During the previous year 2025-26, he comes to India for 135 days. He is in India for 100 days, 50 days, 76 days and 45 days in the financial years 2021-22, 2022-23, 2023-24 and 2024-25, respectively. His annual income for the previous year 2025-26 is as follows:

Particulars	Amount (₹)
Income from salary earned and received in Country X	2,00,000
Income earned and received from a house property situated in Country X	5,00,000
Income deemed to be accrued and arise in India	2,00,000
Income from retail business (accrued and received outside India, controlled from India)	10,00,000
Income accrued and arise in India	4,00,000

Determine the residential status of Mr. Subhash for the assessment year 2026-27. He is not liable to pay tax in Country X.

7. Ms. Nisha is a marketing manager in Rose Ltd. She gives you the following details for P.Y. 2025-26:
- Basic salary of ₹ 45,000 p.m.
 - Dearness Allowance of ₹ 10,000 p.m. (30% is for retirement benefits)
 - Bonus of one-month basic salary
 - She contributes 18% of her salary (Basic Pay + DA) towards recognised provident fund and the company contributes the same amount.
 - Motor car owned by the employer (cubic capacity of engine exceeds 1.6 litres) provided to Ms. Nisha from 1st November, 2025

which is used for both official and personal purposes. Repair and running expenses of ₹ 50,000 were fully met by Ms. Nisha. The motor car was self-driven by the employee.

- (vi) The company pays medical insurance premium of ₹ 18,000 to effect insurance on the health of Ms. Nisha.
- (vii) Her employer gave him a rent free accommodation in Mumbai from 1.4.2024. The house was taken on lease by Rose Ltd. for ₹ 12,000 p.m. The perquisite value of such accommodation for the P.Y. 2024-25 was ₹ 55,000.

CII – F.Y. 2024-25: 363; F.Y. 2025-26: 376

- (viii) Company incurred expenses on the treatment of her daughter abroad including stay expenses of ₹ 1,50,000 as permitted by the RBI.
- (ix) Company also incurred expenses in relation to the foreign travel for medical treatment of daughter of ₹ 80,000.

Compute the income chargeable to tax under the head "Salaries" in the hands of Ms. Nisha for the Assessment Year 2026-27 under optional tax regime.

8. Mr. Vipul furnished the following details for the previous year 2025-26:
 - (i) Loss from House Property (computed) in India – ₹ 2,60,000
 - (ii) Income from business in India – ₹ 8,60,000
 - (iii) Short Term Capital Gain on sale of equity shares listed in recognized stock exchange (STT paid) – ₹ 1,99,800
 - (iv) Income from card game (Gross) – ₹ 1,02,500
 - (v) Loss from betting (Gross) – ₹ 87,500
 - (vi) Expenses of Lottery Income – ₹ 7,500
 - (vii) Income from Lottery Income – ₹ 38,500 (Net of TDS)
 - (viii) Loss from the activity of owning and maintaining camels for races – ₹ 20,000

- (ix) Income from the activity of owning and maintaining race horses – ₹ 97,800
- (x) Long term capital gain on sale of land – ₹ 25,000
- (xi) Income of minor daughter Riya from script writing for Television series - ₹ 15,000
- (xii) Interest income of minor son Saurabh who suffers from disability specified in section 80U - ₹ 2,50,000

Following are the brought forward losses:

- Loss from Textile Business pertaining to A.Y. 2014-15 – ₹ 7,000
- Long-term capital loss pertaining to A.Y. 2017-18 – ₹ 1,12,500
- Short term capital loss pertaining to A.Y. 2018-19 – ₹ 90,200

Compute gross total income of Mr. Vipul as per optional tax regime and find out the amount of losses which can be carried forward.

9. Examine the applicability and determine the amount of tax deduction/ collection at source as per the Income-tax Act, 1961 for the A.Y. 2026-27 in the following situations:
 - (i) ABC Ltd. sells a flat to Mr. Jatin for ₹ 47 lakhs on 15.5.2025. The agreement to sell provides that in addition, Mr. Jatin has to pay maintenance charges of ₹ 10,000 per month for 24 months in advance, ₹ 3 lakhs for car parking, and ₹ 1 lakh for club membership fees to ABC Ltd. The stamp duty value of the flat is ₹ 48 lakhs.
 - (ii) State Government of Jharkhand grants a lease of coal mine to M/s XYZ Ltd. on 1.5.2025 and charged ₹ 7 crores for the lease. M/s XYZ Ltd. sold coal for ₹ 2 crores to M/s LMN, a public sector company, during the P.Y. 2025-26. The turnover of XYZ Ltd. and M/s LMN, PSU, for the F.Y. 2024-25 amounted to ₹ 5.5 crores and ₹ 11 crores, respectively.
10. Mr. Yuvaan, a resident individual, aged 45 years, is engaged in manufacturing of textile business, as a proprietor. He follows mercantile system of accounting. The net profit as per profit and loss account after debiting/crediting the following items was ₹ 20,00,000:

- (i) ₹ 25,000 paid to creditor for goods in cash.
- (ii) Gross interest received from saving bank account ₹ 15,000.
- (iii) Contribution to notified approved research association for scientific research ₹ 1,10,000.
- (iv) He paid a job charges for the value addition on the fabrics ₹ 1,10,000 without deduction of tax to job worker by an account payee cheque.
- (v) Normal depreciation of ₹ 4,50,000 as per Income-tax Rules, 1962 including depreciation on ₹ 15 lakhs, being the cost of new machinery purchased and put to use on 01-09-2025.
- (vi) Subsidy of 20% on new machinery under technology upgradation fund Scheme from the Central Government which was credited to profit and loss account.
- (vii) Insurance expenses include ₹ 50,000 deposited with life insurance Corporation of India for the maintenance of her mother aged 70 years depended upon him and suffering from severe disability.
- (viii) General expenses include revenue expenditure incurred for promoting family planning amongst its employees of ₹ 75,000.
- (ix) On 01-03-2026, Mr. Yuvaan purchased raw material for ₹ 30,000 from Kanha & Co., a medium enterprise as per MSMED Act, 2006, for which the payment was made on 18-04-2026. There was no agreement for payment period between them.

Additional Information:

- (a) Mr. Yuvaan repaid housing loan principal and interest of ₹ 75,000 and ₹ 80,000 respectively, availed for purchase of let-out house property.
- (b) He received rent of ₹ 3,50,000 from his let-out house property. The municipal taxes of ₹ 40,000 for this house was paid by him on 30-04-2026.

- (c) He received ₹ 75,000 by pre-mature withdrawals from deposit including interest ₹ 5,000, in post office time deposit, eligible for deduction under Section 80C.
- (d) He sold a gold bracelet on 01-05-2025 for ₹ 5,00,000, which was acquired for ₹ 40,000 on 01-03-2005. A diamond was embedded onto bracelet on 01-05-2007 of ₹ 50,000. (cost inflation index 2004-05:113, 2007-08:129 and 2025-26:376)

Required:

Compute the total income and tax liability of Mr. Yuvaan for the assessment year 2026-27 under default tax regime and optional tax regime.

The turnover of the business for the financial year 2024-25 is ₹ 250 lakhs and for F.Y. 2025-26 is ₹ 300 lakhs.